



East African Cables
Total peace of mind

INTERIM FINANCIAL STATEMENTS
UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 30TH JUNE 2024

Condensed Statement of Comprehensive Income for the six months ended 30 June 2024				
	Group 30-Jun-24 KShs'000	Group 30-Jun-23 KShs'000	Company 30-Jun-24 KShs'000	Company 30-Jun-23 KShs'000
Turnover	1,334,075	1,174,493	1,247,429	1,094,216
Cost of sales	(963,658)	(862,406)	(894,751)	(795,431)
Gross profit	370,417	312,087	352,678	298,785
Operating expenses	(316,311)	(333,019)	(258,020)	(209,562)
(Loss) / profit from operations	54,106	(20,932)	94,658	89,223
Impairment (losses)/ write-back	(11,092)	13,543	(11,966)	(12,000)
Depreciation and amortization	(98,358)	(95,888)	(73,897)	(74,226)
(Loss) / profit from operating activities	(55,344)	(103,277)	8,795	2,997
Interest expense	(226,294)	(203,911)	(182,635)	(143,580)
Net exchange gains/(losses)	(111,491)	1,198	(21,009)	(16,082)
Loss before tax	(393,129)	(305,990)	(194,849)	(156,665)
Income tax credit	117,939	91,797	58,454	46,999
Loss for the period	(275,190)	(214,193)	(136,395)	(109,666)
Loss from operations attributable to:				
Equity holders of parent company	(207,180)	(162,974)	(136,395)	(109,666)
Non-controlling interest	(68,010)	(51,219)	-	-
Loss for the period	(275,190)	(214,193)	(136,395)	(109,666)
Basic and Diluted Earnings per share (KShs)	(0.82)	(0.64)		

Condensed Statement of Financial Position as at 30 June 2024				
	Group 30-Jun-24 KShs'000	Group 30-Jun-23 KShs'000	Company 30-Jun-24 KShs'000	Company 30-Jun-23 KShs'000
Assets				
Non-current assets	4,282,561	4,470,138	2,842,401	2,885,297
Current assets	689,279	891,721	759,092	1,208,715
Total assets	4,971,840	5,361,859	3,601,493	4,094,012
Equity and liabilities				
Share Capital	126,563	126,563	126,563	126,563
Reserves	279,452	508,002	141,304	714,620
Non-controlling interest	(194,558)	(119,554)	-	-
Non-current liabilities	1,473,453	1,488,035	1,253,540	1,173,496
Current liabilities	3,286,931	3,358,813	2,080,086	2,079,333
Total equity and liabilities	4,971,840	5,361,859	3,601,493	4,094,012

Condensed Statement of Cash flows for the six months ended 30 June 2024				
	Group 30-Jun-24 KShs'000	Group 30-Jun-23 KShs'000	Company 30-Jun-24 KShs'000	Company 30-Jun-23 KShs'000
Cash flows generated from operations	255,876	173,039	107,291	82,025
Cash flows (used in) / from investing activities	-	(1,982)	-	(1,982)
Cash used in financing activities	(286,921)	(165,020)	(67,456)	(66,536)
Increase in cash and cash equivalents	(31,045)	6,037	39,835	13,507
Cash and cash equivalent at 1 January	105,259	129,221	33,524	39,249
Cash and cash equivalent at 30 June	74,214	135,258	73,360	52,756

Condensed Statement of Changes in Equity for the six months ended 30 June 2024				
	Group 30-Jun-24 KShs'000	Group 30-Jun-23 KShs'000	Company 30-Jun-24 KShs'000	Company 30-Jun-23 KShs'000
Share capital	126,563	126,563	126,563	126,563
Share premium	545	545	545	545
Revaluation reserve	2,023,209	2,023,209	1,390,868	1,390,866
Revenue reserve	(1,667,965)	(1,423,629)	(1,250,108)	(676,791)
Exchange reserve	(76,337)	(92,123)	-	-
Total equity attributable to equity holders of company	406,014	634,565	267,866	841,183
Non-controlling interest	(194,558)	(119,554)	-	-
Total Equity	211,456	515,011	267,866	841,183

Key Highlights

Company (Kenya operations)

East African Cables Plc's Kenya business has maintained a growth trajectory, sustained by growing demand from retail and wholesale categories for building and construction projects. The group and company recorded a 14% growth in revenue attributed to increased sales volumes in the retail sector, sustained market development as well as increased operating efficiencies. The Earnings Before Income Tax Depreciation and Amortization (EBITDA) improved by 6% compared to the same period in the previous year supported by revenue growth and strict operating costs containment strategy, leveraging on the entrenched continuous improvement practices.

Tanzania operations

The Tanzania subsidiary continued to experience working capital constraints, significantly affecting its bottom line, and negatively impacting the Group's consolidated performance. In addition, the business has been significantly affected by increased forex losses as a results of weakening Tanzania shilling. The transaction to divest from the subsidiary is in progress pending consent from shareholders and regulator.

Outlook – Group

Despite the setbacks owing to an administration matter which is in court, the Board and Management is focusing its energy on the strict execution of the Group's five-year corporate growth strategy with particular attention on deleveraging the business and setting it on a growth trajectory. Overall, the Company continues to record significant traction in growing revenues to return to profitability. We shall continue with the positive cost management we have been recording.

Dividend

The directors do not recommend payment of an interim dividend.

By Order of the Board
Virginia Nduge
Company Secretary
Nairobi,

23rd August 2024